Comparative Financial Stability Vulnerability Assessment – November 2025

Briefing Note for Bilateral Policy Meeting – ECB / Federal Reserve Senior Officials

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1. Executive Summary

This note compares financial stability vulnerabilities in the euro area and the United States, based on the ECB Financial Stability Review (November and May 2025) and the Federal Reserve Financial Stability Report (November 2025). Both jurisdictions face elevated uncertainty, with trade policy disruptions and geopolitical risks as dominant near-term threats. Asset valuations are stretched across both areas, and non-bank financial intermediation (NBFI) vulnerabilities are a shared concern. However, the configuration of risks diverges: euro area vulnerabilities concentrate in the corporate sector—especially manufacturing—and sovereign–bank linkages, while US vulnerabilities centre on hedge fund leverage, stretched equity valuations, and pockets of household credit stress. Cross-border amplification via capital-flow reversals, fire-sale dynamics, and potential reassessment of safe-haven assets warrants close monitoring.

2. Comparative Vulnerability Assessment

Category	Euro Area (ECB FSR)	United States (Fed FSR)
(a) Asset Valuations	**Elevated** Stretched valuations and declining non-bank liquidity make markets prone to outsized reactions. High valuations and increasing risk concentration in equity and credit markets. Markets rebounded after April tariff turmoil, but medium-term tariff effects may still challenge risky asset valuations. Signs of rotation in fund flows from US to euro area (ECB May 2025).	**Elevated** S&P 500 forward P/E near upper end of historical range; equity premium near 20-year low. Corporate bond spreads historically compressed: triple-B ~0.7 pp below median, high-yield ~1.6 pp below. Excess bond premium below long-run average. CRE prices declined (–5.6% y/y). Treasury term premium near median.
(b) Borrowing by Businesses & Households	**Elevated** Corporate vulnerabilities remain elevated as tariff effects take hold; manufacturing especially exposed. Corporate vulnerability index positive; Altman Z-scores show stress in manufacturing. Debt service costs elevated; bankruptcies high; new loan volumes 28% below 2019–25 average. Household resilience supported by savings, but layoffs from tariff-sensitive sectors could erode debt servicing capacity. Risk of "rolling recessions" (ECB Box 1, Nov 2025).	**Moderate** Total business and household debt/GDP stable at 20-year lows. Business and household debt-to-GDP near historical lows. However, credit card and auto loan delinquencies above pre-pandemic levels. Market-based default probability forecasts for nonfinancial firms at low levels. Leveraged loan spreads at low end of distribution since 2009.
(c) Leverage in the Financial Sector	**Moderate** Banks maintain robust liquidity and capital buffers; profitability solid but facing headwinds. Credit risk exposures to tariff-sensitive firms and stronger funding ties with non-banks pose challenges. Liquidity mismatches and increasing leverage in investment fund sector. Financial and synthetic leverage of euro area investment funds elevated. Systemic risks in bank–NBFI linkages highlighted (Nov 2025).	**Elevated** Hedge fund leverage steadily increased across strategies: Treasuries, rate derivatives, equities. Life insurers' leverage in top quartile of historical distribution. Banks well capitalised above requirements; fair value losses on fixed-rate assets declined but remain sizable and rate-sensitive. Bank credit to financial entities (SPEs, CLOs, ABS) continued to grow. Broker-dealer leverage near historical lows.
(d) Funding Risks	**Moderate** Non-bank liquidity fragilities: investment funds face potential redemption pressures in stress. Banks' funding from non-banks growing—increased interconnectedness. Sovereign fragmentation risk: higher issuance costs could strain weak sovereigns, especially those with debt >100% GDP and elevated defence spending. US dollar activities of European banks flagged. April turmoil: euro area market functioning held up; atypical shifts from US Treasuries/ USD observed.	**Moderate** MMF assets grew, mainly in government MMFs—least susceptible to redemptions. Assets in fragile vehicles as share of GDP near historical median. Banks' uninsured deposits well below 2022/2023 peaks. Life insurers' nontraditional liabilities grew but small share of general account assets. Treasury and equity market liquidity strained in April but recovered; measures well above April lows.

Sources: ECB FSR, November 2025 and May 2025; Federal Reserve Financial Stability Report, November 2025. Assessments reflect source-document language and risk gradations (Fed: 23 Oct 2025; ECB: 18 Nov 2025).

3. Common and Divergent Risks

3.1 Most Salient Common Risks

Elevated Asset Valuations. Both institutions judge valuations stretched. The S&P 500 forward P/E is near the upper end of its historical range, the equity premium at a 20-year low, and credit spreads historically compressed. The ECB flags "high valuations and increasing risk concentration," warning that stretched valuations combined with declining non-bank liquidity leave markets vulnerable to sharp repricing.

Trade Policy Uncertainty. Both reports identify trade policy—particularly US import tariffs—as the primary near-term threat. The Fed's Survey of Salient Risks cites policy uncertainty as the most frequently mentioned risk. The ECB notes that "global uncertainties and tariff rates weigh on euro area growth" and warns that escalation could have "significant adverse impacts on global growth, inflation and asset prices."

NBFI Vulnerabilities. Both flag NBFI as a systemic amplification channel. The ECB identifies liquidity mismatches and increasing leverage in investment funds, with special features on bank–NBFI linkages. The Fed highlights steadily rising hedge fund leverage and life insurer leverage in the top historical quartile. In both jurisdictions, NBFI entities could amplify stress through fire sales, margin spirals, or redemption-driven deleveraging.

3.2 Notable Divergences

Corporate Sector. The most significant divergence. The ECB's corporate vulnerability index is positive and Altman Z-scores point to manufacturing weakness; bankruptcies are elevated with new loan volumes 28% below the 2019–25 average. By contrast, US business debt/GDP is at 20-year lows with subdued default forecasts. This reflects the euro area's greater exposure via its large export-oriented manufacturing sector.

Financial Leverage Configuration. US leverage concerns concentrate in non-banks—hedge funds and life insurers—while banks are well capitalised. In the euro area, concern centres on interconnectedness: growing bank funding ties with non-banks and credit exposures to tariff-sensitive firms.

Household Balance Sheets. US households benefit from aggregate debt-to-GDP at 20-year lows, though credit card and auto loan delinquencies remain above pre-pandemic levels. Euro area households hold elevated savings but face forward-looking risk: tariff-induced layoffs could erode debt servicing capacity.

Sovereign Risk. A distinctly euro area concern. The ECB highlights that higher issuance and funding costs could strain weak sovereigns, potentially leading to "renewed sovereign fragmentation" (ECB Nov 2025, Chart 3). The activation of the national escape clause for defence spending in 11 countries, combined with existing high debt, adds a fiscal dimension absent in the US assessment.

4. Cross-Border Transmission Channels

Capital Flow Reversals. The April 2025 tariff turmoil revealed atypical investor behaviour: flows moved away from US Treasuries and the dollar, with signs of rotation from the US to the euro area. A fundamental reassessment of US asset riskiness could have far-reaching implications for global capital flows and the dollar-centric architecture.

Trade and Supply-Chain Contagion. The euro area's deep integration into global supply chains means US tariff actions directly transmit to euro area corporate earnings, employment, and asset quality. Euro area non-banks hold significant securities of European sectors reliant on US trade, creating a direct channel from trade policy to NBFI balance sheets.

Non-Bank Fire-Sale Dynamics. If a repricing event triggers redemptions from funds with liquidity mismatches—present on both sides—forced selling of common assets could propagate across markets. Growing bank–NBFI interconnectedness in the euro area (through deposits, repos, and bonds) means NBFI stress can feed back to banks.

Sovereign-Bank Nexus (Euro Area). Deteriorating sovereign creditworthiness—triggered by trade-related slowdowns and rising defence expenditures—could weaken bank balance sheets through sovereign bond holdings, reigniting the sovereign–bank doom loop.

5. Forward-Looking Assessment: Possible Triggering Shocks

(i) Trade Policy Escalation. A breakdown of the tariff pause or additional tariffs—particularly on automobiles, machinery, and pharmaceuticals—would directly hit corporate earnings in both jurisdictions. Manufacturing accounts for a disproportionate share of euro area employment, value added, and credit. Renewed escalation could tip vulnerable firms into distress and trigger valuation corrections.

(ii) Sudden Risk Repricing. With equity risk premia at multi-decade lows and spreads historically compressed, even a moderate macro reassessment could trigger sharp repricing. Fair value losses on bank fixed-rate assets remain rate-sensitive; a rapid yield curve steepening could generate mark-to-market losses and margin calls.

(iii) Geopolitical Events. Both institutions cite geopolitical risks prominently. A shock related to defence pressures, regional conflicts, or critical infrastructure disruptions could simultaneously trigger flight-to-safety flows, commodity price spikes, and operational disruptions.

(iv) NBFI Liquidity Event. A redemption run on funds with liquidity mismatches could force fire sales, depress asset prices, and transmit stress to banks. Growing bank credit to SPEs, CLOs, and ABS in the US, and banks' increasing funding reliance on non-banks in the euro area, represent two-way contagion risk.

(v) Euro Area Sovereign Stress. A reassessment of sovereign risk—driven by weak growth, elevated debt, rising interest costs, and increased defence spending—could lead to renewed fragmentation. Eleven euro area countries have activated the escape clause; several have debt >100% of GDP with fiscal balances near the 3% deficit threshold.

6. Conclusion: Overall Risk Ratings and Policy Recommendations

Jurisdiction	Overall Rating	Rationale
Euro Area	**Elevated**	Elevated corporate vulnerabilities in trade-exposed sectors, stretched asset valuations, growing NBFI interconnectedness, and material sovereign-fiscal risks—all amid exceptional policy uncertainty. Banking system resilience provides a cushion but does not eliminate tail risks.
United States	**Elevated**	Stretched equity valuations and compressed credit spreads leave markets vulnerable to repricing. Hedge fund and life insurer leverage build-up raises amplification concerns. However, household and business debt at 20-year lows provides a more solid foundation, and banks are well capitalised.

Policy Recommendations

For both jurisdictions: (i) Intensify NBFI surveillance—enhanced monitoring of hedge fund leverage, fund liquidity mismatches, and bank–NBFI interconnectedness, including through joint international efforts. (ii) Ensure supervisory stress tests incorporate severe trade disruption scenarios with second-round effects. (iii) Preserve capital headroom in banking systems given the uncertain outlook.

Euro area: Monitor the sovereign–bank nexus closely given elevated debt, rising defence spending, and weak growth prospects. Advance the NBFI macroprudential policy framework to address procyclicality in investment funds.

United States: Monitor hedge fund and life insurer leverage accumulation, particularly in Treasury and rate derivative strategies. Targeted monitoring of CRE and pockets of household credit stress (credit cards, auto loans) is warranted.

Sources: ECB Financial Stability Review, November 2025; ECB Financial Stability Review, May 2025; Federal Reserve Board, Financial Stability Report, November 2025. All data, assessments, and judgments drawn exclusively from these publications.

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